

MERIDIAN & ASSOCIATES LLP

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Proposal for Financial Audit Services

City of Lakewood, Colorado - RFP #FIN-2025-042

CLIENT CONFIDENTIAL - BLINDED

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Cover Letter

September 8, 2025

Ms. Jennifer Martinez, Finance Director
City of Lakewood, Department of Finance
480 South Allison Parkway
Lakewood, CO 80226

Dear Ms. Martinez,

Meridian & Associates LLP is pleased to submit this proposal in response to RFP #FIN-2025-042 for Financial Audit Services for the City of Lakewood. We understand the City seeks a qualified firm to conduct comprehensive annual financial audits of its general-purpose financial statements, including the preparation of the Annual Comprehensive Financial Report (ACFR), for a five-year period commencing with fiscal year ending December 31, 2025.

Meridian brings more than 35 years of experience serving state and local government entities across the United States. Our Government Services Practice currently serves over 120 municipal clients, including 18 cities with populations exceeding 100,000. We have consistently delivered audits that meet or exceed Government Auditing Standards (Yellow Book), the Single Audit Act, and Uniform Guidance requirements.

Our proposed engagement partner, David Rawlings, CPA, CGFM, has personally led over 75 municipal financial audits during his 22-year career with Meridian. He will be supported by a dedicated team of professionals with deep expertise in governmental accounting standards (GASB), public sector internal controls, and ACFR preparation.

We are committed to delivering timely, high-quality audit services while minimizing disruption to City staff. Our proven methodology emphasizes early planning, continuous communication, and the use of advanced data analytics to enhance audit efficiency and coverage.

We welcome the opportunity to discuss our qualifications further. Please do not hesitate to contact me or David Rawlings at the numbers provided in this proposal.

Respectfully submitted,

Margaret L. Foster, CPA
Regional Managing Partner, Mountain West
Meridian & Associates LLP
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1. Executive Summary

Meridian & Associates LLP proposes to serve as the independent external auditor for the City of Lakewood, providing comprehensive annual financial audit services in full compliance with Generally Accepted Auditing Standards (GAAS), Government Auditing Standards (GAS/Yellow Book), and the requirements of the Single Audit Act Amendments and OMB Uniform Guidance (2 CFR Part 200).

Our engagement will encompass: (1) annual audit of the City's general-purpose financial statements, (2) preparation and review of the ACFR in accordance with GFOA standards, (3) single audit of federal award programs, (4) issuance of management letters identifying internal control findings and recommendations, and (5) presentation of audit results to the City Council and Audit Committee.

Why Meridian

- 120+ active municipal audit clients nationwide, including 18 cities with populations over 100,000
- 97% client retention rate in our Government Services Practice over the past decade
- 14 consecutive years of clean peer review reports with no findings
- Proprietary data analytics platform (Meridian Insight) analyzes 100% of transactions versus traditional sampling
- Dedicated GASB technical specialists who monitor and advise on new pronouncements (GASB 87, 96, 100, 101)
- GFOA Certificate of Achievement assistance -- 95% of our ACFR clients receive the Certificate annually

2. Approach and Methodology

Phase 1: Planning and Risk Assessment (August - September)

Our audit begins with a comprehensive planning phase designed to understand the City's operations, financial reporting environment, and risk profile. Key activities include:

- Entrance conference with Finance Director, City Manager, and department heads to discuss scope, timing, and expectations
- Assessment of the City's internal control environment using the COSO 2013 framework, including IT general controls
- Identification and evaluation of fraud risk factors in accordance with SAS 99/AU-C 240
- Development of a risk-based audit plan that allocates resources to areas of highest risk and materiality
- Review of prior audit findings, management letter comments, and corrective action plans
- Configuration of Meridian Insight analytics to import and analyze the City's general ledger, payroll, accounts payable, and revenue data

Phase 2: Interim Fieldwork (October - November)

During interim fieldwork, we perform preliminary testing of internal controls and begin substantive procedures on transactions occurring through the interim period. This approach allows us to identify potential issues early and reduces the burden on City staff during year-end.

- Testing of key internal controls over financial reporting (revenue recognition, procurement, payroll, cash management)
- Interim substantive testing of high-volume transaction cycles (utility billing, property tax, accounts payable)
- IT general controls testing (access controls, change management, backup and recovery, segregation of duties)
- Review of compliance requirements for major federal programs (Community Development Block Grants, transportation, public safety)
- Progress meeting with Finance Director to discuss preliminary findings and any adjustments to audit plan

Phase 3: Year-End Fieldwork (January - February)

Year-end fieldwork focuses on completing substantive procedures, confirming account balances, and evaluating the City's year-end closing process and financial statement preparation.

- Confirmation of cash and investment balances with financial institutions and custodians
- Testing of year-end accruals, estimates, and adjustments
- Review of subsequent events through the date of the auditor's report
- Evaluation of the City's component unit relationships and required blending/discrete presentation
- Testing of compliance requirements under Uniform Guidance for each major federal program
- Comprehensive analytics on full-year data using Meridian Insight, including Benford's Law analysis, duplicate payment detection, and vendor relationship mapping

Phase 4: Reporting and Delivery (March - April)

The final phase encompasses the preparation and delivery of all required reports and communications.

- Draft ACFR preparation and review, incorporating GFOA Certificate of Achievement requirements
- Independent auditor's report on the basic financial statements
- Report on internal control over financial reporting and on compliance (Yellow Book)
- Single audit report and schedule of findings and questioned costs (Uniform Guidance)
- Management letter with detailed findings, recommendations, and management responses
- Exit conference and formal presentation to City Council / Audit Committee

3. Team Qualifications

Engagement Partner: David Rawlings, CPA, CGFM

David has 22 years of experience exclusively in governmental auditing. He currently serves as engagement partner for 14 municipal audit clients, including the City of Aurora (pop. 395,000), Jefferson County, and the Regional Transportation District. David holds the Certified Government Financial Manager designation and serves on the AICPA's Government Audit Quality Center Executive Committee. He personally reviews every audit opinion and management letter issued by his team.

Engagement Manager: Lisa Nakamura, CPA

Lisa brings 15 years of governmental audit experience and will serve as the primary day-to-day contact for City staff. She specializes in GASB implementation, ACFR preparation, and single audit compliance. Lisa has managed audits for 9 Colorado municipalities and has a strong track record of completing engagements on time and within budget.

Senior Auditor: Marcus Thompson, CPA

Marcus has 8 years of experience in public sector auditing, with particular expertise in IT general controls, data analytics, and federal grant compliance. He leads the on-site fieldwork team and is responsible for supervising staff auditors and preparing detailed workpapers.

GASB Technical Specialist: Dr. Rebecca Stein, CPA

Rebecca serves as Meridian's national GASB practice leader and will be available as a technical resource throughout the engagement. She has authored guidance on implementing GASB 87 (Leases), GASB 96 (IT Subscriptions), and GASB 100/101 (Accounting Changes and Compensated Absences). She holds a Ph.D. in Accounting from the University of Illinois and previously served on the GASB's Emerging Issues Task Force.

4. Relevant Experience

City of Aurora, Colorado (Population: 395,000)

Engagement Duration: 2018 - Present (8 consecutive years)

Scope: ACFR preparation, financial audit, single audit, pension audit

Team Size: 8-10 professionals during peak fieldwork

Meridian has served as the City of Aurora's independent auditor since 2018, consistently delivering the completed ACFR within 120 days of fiscal year-end. The City has received the GFOA Certificate of Achievement for Excellence in Financial Reporting for all eight years. We successfully guided the City through implementation of GASB 87 (Leases), identifying over \$45 million in previously unrecognized lease liabilities, and GASB 96 (IT Subscriptions). Our data analytics program detected \$380,000 in duplicate vendor payments during FY2023, which the City recovered in full.

Jefferson County, Colorado (Population: 582,000)

Engagement Duration: 2020 - Present (6 consecutive years)

Scope: Financial audit, single audit, component unit audits (5 entities)

Jefferson County's complex organizational structure includes five component units requiring discrete presentation. Meridian coordinates audit procedures across all entities and delivers a consolidated ACFR that meets both County and component unit reporting requirements. We have consistently identified opportunities to strengthen internal controls, including recommendations that led to the County's implementation of a new enterprise procurement system.

City and County of Denver, Colorado (Population: 715,000)

Engagement Duration: 2015 - 2022 (8 years)

Scope: Financial audit, single audit, Denver International Airport audit

Meridian served as Denver's independent auditor for eight years, including the separate audit of Denver International Airport, a \$3.2 billion enterprise fund. Our engagement team included specialists in aviation revenue accounting, bond covenant compliance, and federal aviation grant requirements. During our tenure, Denver received the GFOA Certificate of Achievement every year and was recognized for outstanding financial reporting by the National Council on Governmental Accounting.

5. Fee Proposal

Meridian proposes a fixed annual fee for the comprehensive audit engagement, inclusive of all professional services described in this proposal. The fee structure reflects our commitment to providing exceptional value while maintaining the highest quality standards.

Annual Fee Schedule

Year 1 (FY2025) - Comprehensive Audit:	[REDACTED]
Year 2 (FY2026) - Comprehensive Audit:	[REDACTED]
Year 3 (FY2027) - Comprehensive Audit:	[REDACTED]
Year 4 (FY2028) - Comprehensive Audit:	[REDACTED]
Year 5 (FY2029) - Comprehensive Audit:	[REDACTED]
Total Five-Year Contract Value:	[REDACTED]

Fee Assumptions and Inclusions

- All professional fees, including partner, manager, senior, and staff time
- ACFR preparation and review (up to two rounds of revisions)
- Single audit of up to 4 major federal programs per year
- Management letter preparation and presentation
- Up to 40 hours of GASB technical consultation annually at no additional charge
- All travel, technology, and administrative expenses
- Annual fee escalation not to exceed 3% per year for Years 2-5

Note: Pricing for additional services beyond the base scope (e.g., bond offering comfort letters, agreed-upon procedures, additional component unit audits) will be quoted separately at standard hourly rates, subject to City approval prior to commencement.